

The Heavy Hand of the State

It rained bad news in March, beginning with ONGC's botched offer for sale (OFS) through which the government hoped to sell a stake of 5 per cent to raise approximately Rs 12,700 crore. The issue had to be bailed out by LIC, which had to soak up almost 90 per cent of the shares on offer in the absence of demand from other institutional investors, particularly FIIs. The stock had witnessed a decent rise through January and February, leading many to believe that the issue would be a success. But it turned out that LIC had been buying the shares in the open market during that period, most likely to support the price ahead of the offer for sale. It had picked up 15.7 crore shares between 1 January and 8 February but did not disclose this to the exchanges till much later. However, FIIs would have known through their network of brokers that LIC was the buyer, and so refused to bite the bait during the OFS.

It was very likely that LIC was trying to support the ONGC stock price at the behest of the government. Nothing else could explain why the insurer chose to delay disclosure of the purchases to the stock exchanges. The episode showed both the government and the regulator in a poor light. Would SEBI have overlooked a similar violation by some other institutional investor?

Including the 37 crore shares of ONGC it picked up through the OFS, LIC had invested roughly Rs 15,000 crore in ONGC in less than three months. This was a substantial chunk of the insurer's annual kitty for investment in the stock market. Many market veterans began to wonder if